• offer vehicles to Swiss and foreign customers for tax evasion or even tax fraud,

• offer the ability to Swiss and foreign trustees to found companies on the Caymans (as well as Guernsey and Luxemburg) in order to profit from this situation,

• protect investors,

• and naturally reduce taxes for the Julius Baer group.

Only the mother company Julius Baer Bank and Trust Co Ltd, Cayman Islands (the bank) is owned directly by Julius Baer Holding AG, Zurich. All other companies are owned by Julius Baer Bank and Trust Ltd, (directly or indirectly) and therefore only Julius Baer Bank and Trust Co Ltd., Cayman Islands (the bank) appears to the outside. This is effective, as all other companies stay hidden. Neither the Eidgenoessische Banken Kommision (Swiss federal banking commission) nor the tax administration are ever shown the balances or profit calculations of these companies due to the Confidentiality Law on the Caymans (similar to the Swiss banking law), under which there is no right for examination.

The estimated quantum of the tax reduction can be determined from the calculations at the end of this document. This is not about an exact figure of the loss of tax revenue in Switzerland but an order of magnitude and especially the methodology of offshore entities. The numbers presented represent the beginning of this decade and are very likely much higher today in light of the growth of the group.